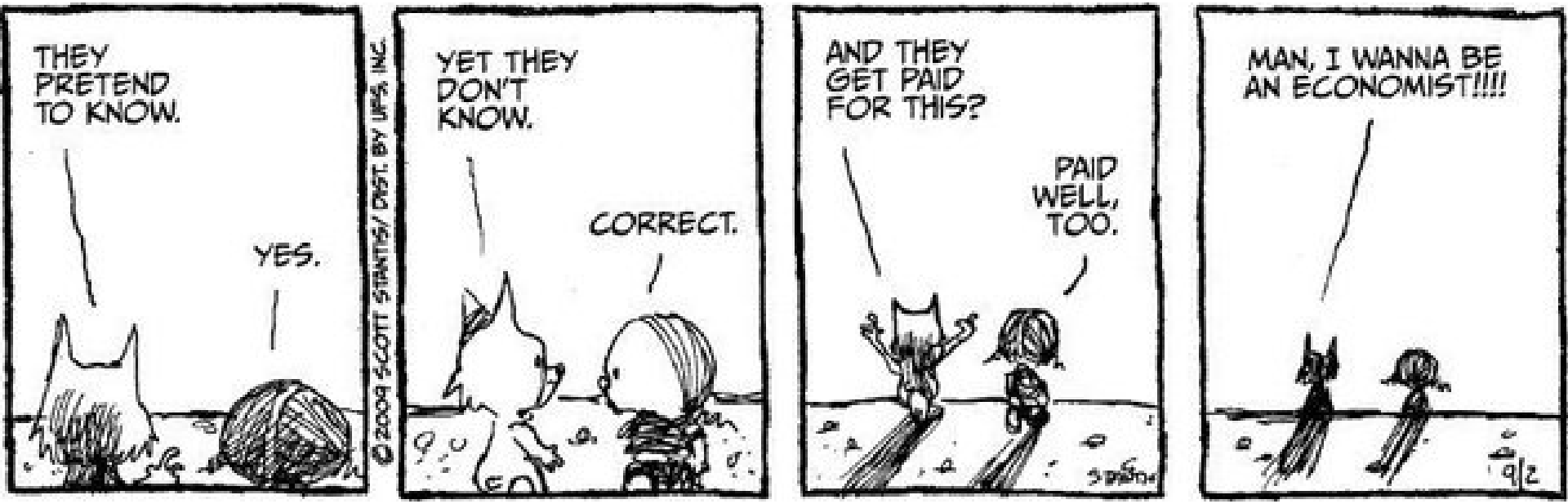
2

Thinking Like an Economist

PowerPoint Slides prepared by:
Andreea CHIRITESCU
Eastern Illinois University

© 2011 Cengage Learning. All Rights Reserved. May not be copied, scanned, or duplicated, in whole or in part, except for use as permitted in a license distributed with a certain product or service or otherwise on a password-protected website for classroom use.


THEY PRETEND TO KNOW.
YES.
© 2009 SCOTT STANTIS/ DIST. BY UFS, INC.
YET THEY DON'T KNOW.
CORRECT.
AND THEY GET PAID FOR THIS?
PAID WELL, TOO.
MAN, I WANNA BE AN ECONOMIST!!!!

The Economist as a Scientist

- Economics
  - Social science
- Economists
  - Scientists
    - Devise theories
    - Collect data
    - Analyze these data
      - Verify or refute their theories

© 2011 Cengage Learning. All Rights Reserved. May not be copied, scanned, or duplicated, in whole or in part, except for use as permitted in a license distributed with a certain product or service or otherwise on a password-protected website for classroom use.

The Economist as a Scientist

The role of assumptions

- Assumptions
  - Can simplify the complex world
    - Make it easier to understand
  - Focus our thinking - essence of the problem
- Different assumptions
  - To answer different questions
  - Short-run or long-run effects

© 2011 Cengage Learning. All Rights Reserved. May not be copied, scanned, or duplicated, in whole or in part, except for use as permitted in a license distributed with a certain product or service or otherwise on a password-protected website for classroom use.

The Economist as a Scientist

- Economic models
  - Diagrams & equations
  - Omit many details
  - Allow us to see what's truly important
  - Built with assumptions
  - Simplify reality to improve our understanding of it

© 2011 Cengage Learning. All Rights Reserved. May not be copied, scanned, or duplicated, in whole or in part, except for use as permitted in a license distributed with a certain product or service or otherwise on a password-protected website for classroom use.

Which would you prefer if you want to find your way to the Curlew parking lot?

Simple Map view

Real Arial View

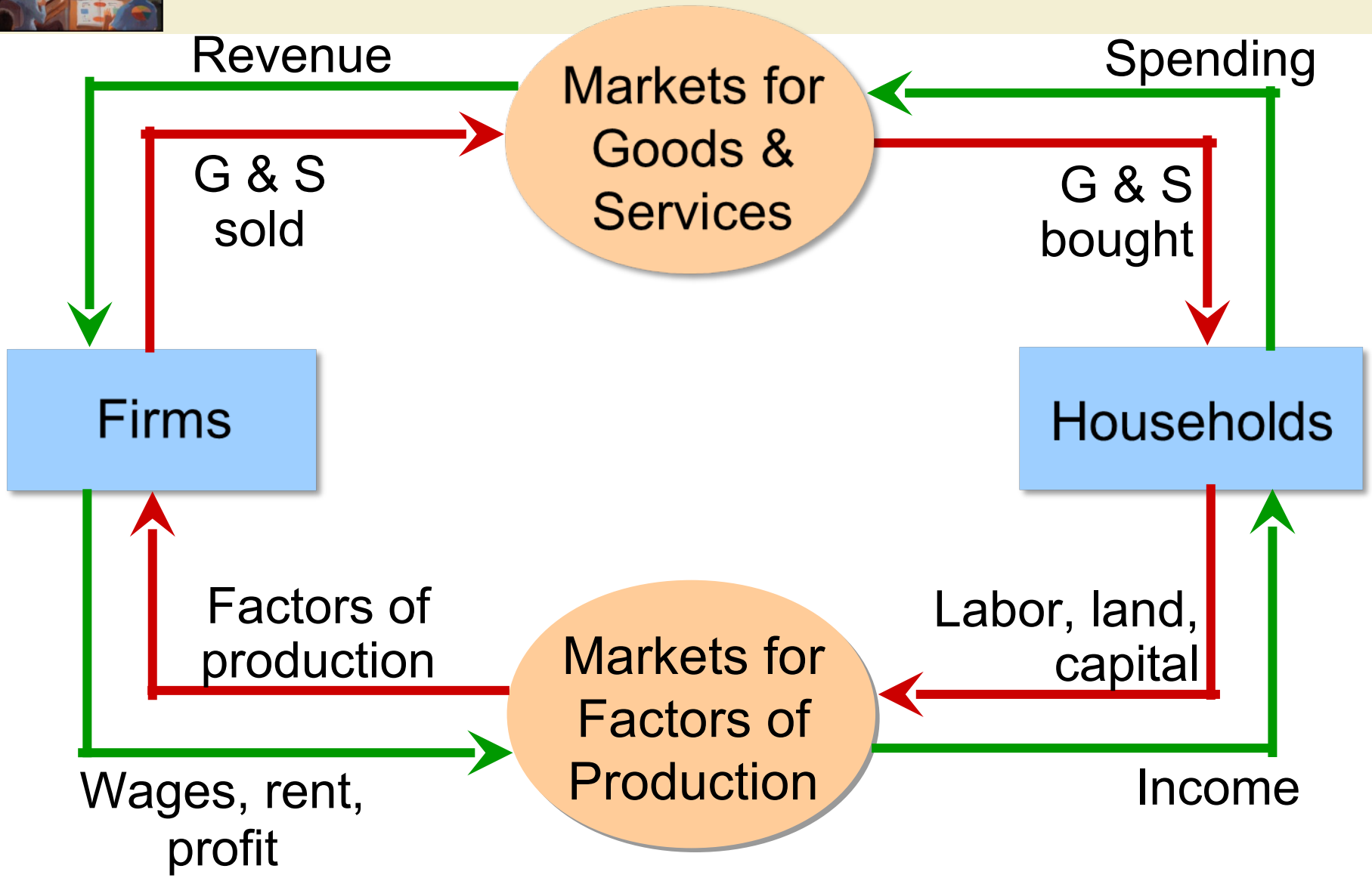
•Or: Drive 2 miles, turn right on Ocean Dr.; drive 2,400 ft., turn right on Sand dollar Blvd.; drive 300 ft., turn right on Curlew Dr.; hit the brake

The Economist as a Scientist

- Circular-flow diagram
  - Visual model of the economy
  - Shows how dollars flow through markets among households and firms
- Decision makers
  - Firms & Households
- Markets
  - For goods and services
  - For factors of production

© 2011 Cengage Learning. All Rights Reserved. May not be copied, scanned, or duplicated, in whole or in part, except for use as permitted in a license distributed with a certain product or service or otherwise on a password-protected website for classroom use.

FIGURE 1: The Circular-Flow Diagram



The Economist as a Scientist

- Firms
  - Produce goods and services
  - Use factors of production / inputs
- Households
  - Own factors of production
  - Consume goods and services

© 2011 Cengage Learning. All Rights Reserved. May not be copied, scanned, or duplicated, in whole or in part, except for use as permitted in a license distributed with a certain product or service or otherwise on a password-protected website for classroom use.

The Economist as a Scientist

- Markets for goods and services
  - Firms – sellers
  - Households – buyers
- Markets for inputs
  - Firms – buyers
  - Households - sellers

© 2011 Cengage Learning. All Rights Reserved. May not be copied, scanned, or duplicated, in whole or in part, except for use as permitted in a license distributed with a certain product or service or otherwise on a password-protected website for classroom use.

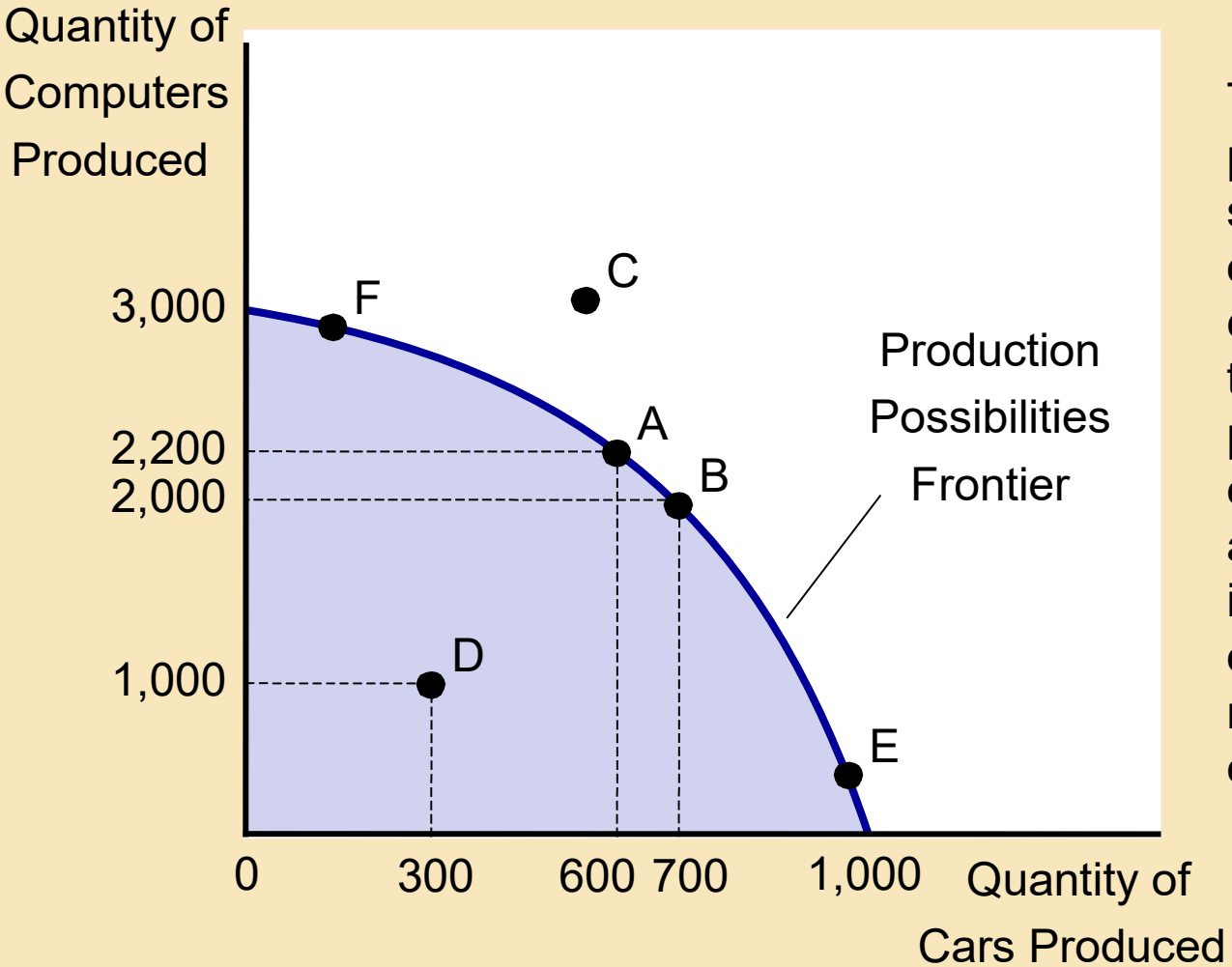
The Economist as a Scientist

- Production possibilities frontier
  - A graph
  - Combinations of output that the economy can possibly produce
  - Given the available
    - Factors of production
    - Production technology

© 2011 Cengage Learning. All Rights Reserved. May not be copied, scanned, or duplicated, in whole or in part, except for use as permitted in a license distributed with a certain product or service or otherwise on a password-protected website for classroom use.

Figure 2

The production possibilities frontier



The production possibilities frontier shows the combinations of output—in this case, cars and computers—that the economy can possibly produce. The economy can produce any combination on or inside the frontier. Points outside the frontier are not feasible given the economy's resources.

© 2011 Cengage Learning. All Rights Reserved. May not be copied, scanned, or duplicated, in whole or in part, except for use as permitted in a license distributed with a certain product or service or otherwise on a password-protected website for classroom use.

The Economist as a Scientist

- Efficient levels of production
  - The economy is getting all it can
    - From the scarce resources available
  - Points on the production possibilities frontier
  - Trade-off:
    - The only way to produce more of one good
    - Is to produce less of the other good

© 2011 Cengage Learning. All Rights Reserved. May not be copied, scanned, or duplicated, in whole or in part, except for use as permitted in a license distributed with a certain product or service or otherwise on a password-protected website for classroom use.

The Economist as a Scientist

- Inefficient levels of production
  - Points inside production possibilities frontier
- Opportunity cost of producing one good
  - Give up producing the other good
  - Slope of the production possibilities frontier

© 2011 Cengage Learning. All Rights Reserved. May not be copied, scanned, or duplicated, in whole or in part, except for use as permitted in a license distributed with a certain product or service or otherwise on a password-protected website for classroom use.

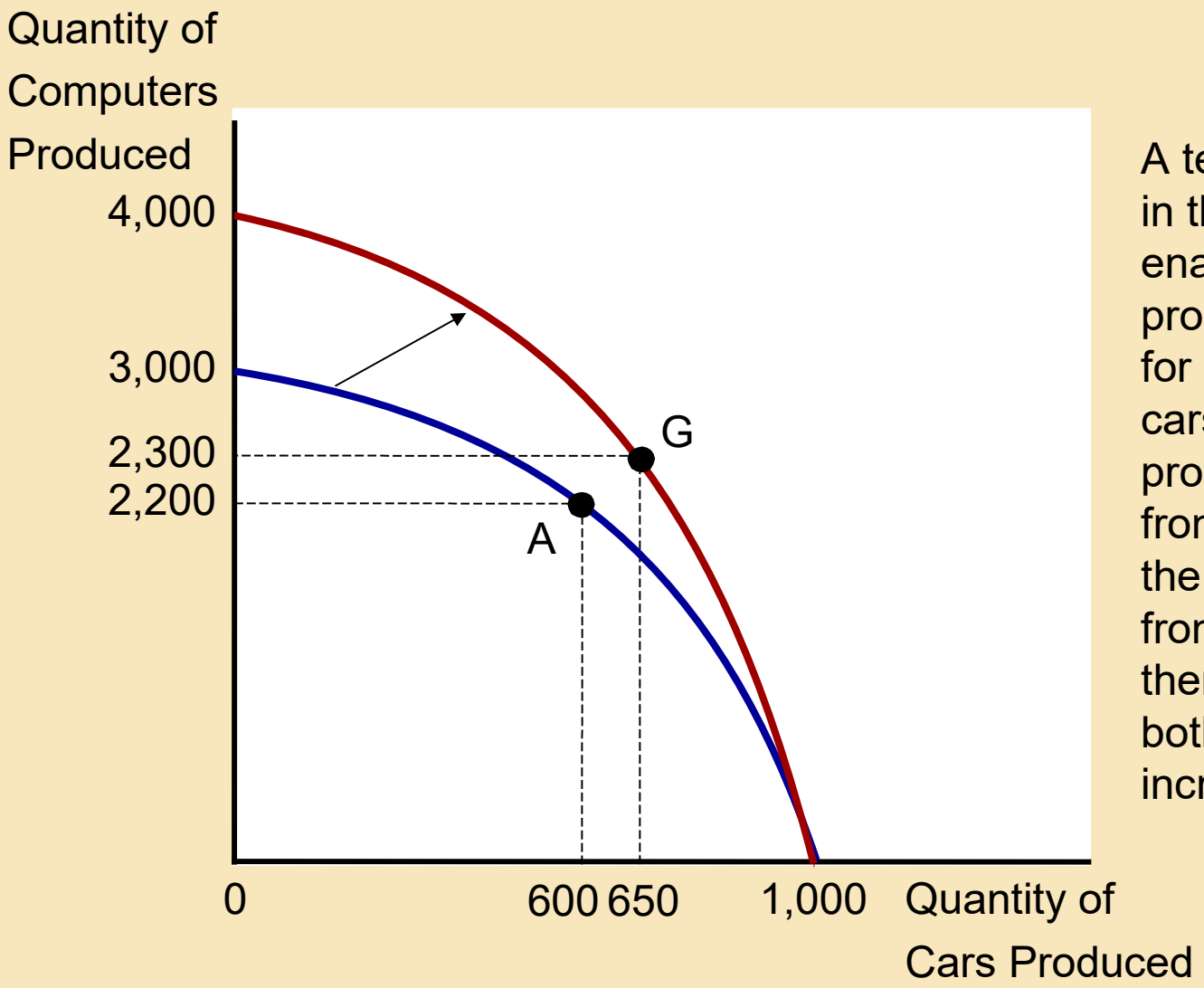
The Economist as a Scientist

- Technological advance
  - Outward shift of the production possibilities frontier
  - Economic growth
  - Produce more of both goods

© 2011 Cengage Learning. All Rights Reserved. May not be copied, scanned, or duplicated, in whole or in part, except for use as permitted in a license distributed with a certain product or service or otherwise on a password-protected website for classroom use.

Figure 3

A shift in the production possibilities frontier



A technological advance in the computer industry enables the economy to produce more computers for any given number of cars. As a result, the production possibilities frontier shifts outward. If the economy moves from point A to point G, then the production of both cars and computers increases.

© 2011 Cengage Learning. All Rights Reserved. May not be copied, scanned, or duplicated, in whole or in part, except for use as permitted in a license distributed with a certain product or service or otherwise on a password-protected website for classroom use.

The Economist as a Scientist

- Microeconomics
  - The study of how households and firms make decisions
  - And how they interact in markets
- Macroeconomics
  - The study of economy-wide phenomena, including inflation, unemployment, and economic growth

© 2011 Cengage Learning. All Rights Reserved. May not be copied, scanned, or duplicated, in whole or in part, except for use as permitted in a license distributed with a certain product or service or otherwise on a password-protected website for classroom use.

The Economist as a Policy Adviser

Positive vs. Normative analysis

- Positive statements
  - Attempt to describe the world as it is
  - Descriptive
  - Confirm or refute by examining evidence
- Normative statements
  - Attempt to prescribe how the world should be
  - Prescriptive

© 2011 Cengage Learning. All Rights Reserved. May not be copied, scanned, or duplicated, in whole or in part, except for use as permitted in a license distributed with a certain product or service or otherwise on a password-protected website for classroom use.

The Economist as a Policy Adviser

- Economists in Washington
  - Council of Economic Advisers
    - Advise the president of the United states
    - Annual Economic Report of the President
  - Office of Management and Budget
  - Department of the Treasury
  - Department of Labor
  - Department of Justice
  - Congressional Budget Office
  - The Federal Reserve

© 2011 Cengage Learning. All Rights Reserved. May not be copied, scanned, or duplicated, in whole or in part, except for use as permitted in a license distributed with a certain product or service or otherwise on a password-protected website for classroom use.